 Name _____

Crocs: Bad Debts in a Real Balance Sheet

Source: Crocs, Inc. Form 10-K, year ended December 31, 2024 (condensed; amounts in thousands) · sec.gov/Archives/edgar/data/1334036/000133403625000009/crox-20241231.htm

Crocs, Inc.
Consolidated Balance Sheet

	Dec 31, 2024
Cash and cash equivalents	$ 180,485
Accounts receivable (gross)	289,236
Less: Allowance for doubtful accounts (ADA)	(31,579)
Accounts receivable, net	257,657
Inventories	356,254
Other current assets	77,873
Total current assets	872,269
Property, goodwill, brands and other	3,939,884
Total assets	$ 4,812,153
Total current liabilities	$ 740,208
Long-term liabilities	2,236,213
Total liabilities	2,976,421
Total stockholders' equity	1,835,732
Total liabilities and equity	$ 4,812,153

Crocs, Inc.
Allowance for Doubtful Accounts (ADA)

	2024
Balance, Dec 31, 2023	$ 27,591
Add: Bad debt expense (new estimates)	?
Less: Accounts written off	?
Balance, Dec 31, 2024	$ 31,579

BACKGROUND
Crocs sells many of its shoes to retailers and distributors (shoe stores, department stores) on credit. They pay weeks later.

MORE TERMS
Gross A/R: the total amount customers owe for goods sold on credit.
Net A/R: gross A/R − ADA, the amount the company expects to collect.
Write-off: removing a specific customer's account once it is known to be uncollectible.

ACCOUNTS & TERMS

	Allowance for Doubtful Accounts (ADA)	Bad Debt Expense (BDE)
Where it appears	**Balance sheet**	**Income statement**
Type of account	Contra-asset: subtracted from accounts receivable	Operating expense
What it measures	The **total** amount of receivables still expected to go uncollected	**This period's** estimate of new uncollectible amounts (how much ADA is increased)
Time	A balance at **one date** (Dec 31)	An amount for a **whole period** (the year)
Example	Last estimate: **$1,000** will not be collected. New estimate: **$3,000** will not be collected.	ADA must go up by $3,000 − $1,000, so record **BDE of $2,000**. BDE is the amount that brings ADA up to the new estimate.
At Crocs	31,579 on the balance sheet	Not shown as a separate line: included in SG&A expenses

FIND IT IN THE STATEMENTS

Write the amount ($ thousands, %, or $).

1. In total, how much did customers owe Crocs at year-end? **289,236**
2. How much does Crocs estimate it will never collect? **31,579**
3. How much does Crocs actually expect to collect in cash? **257,657**
4. What percentage of what customers owe does Crocs expect never to collect? **10.9%**
5. Out of every $100 customers owe, about how much does Crocs expect to collect? **$89**
6. By how much did the allowance increase during 2024? **3,988**
7. Sneaker Supply Co. (made up) had an ADA of $2,500. At year-end it now expects $4,000 of its receivables will not be collected (no accounts were written off). How much BDE must it record? **1,500**

Crocs's reported "allowances" ($31,579) also include reserves for customer returns and discounts; this worksheet treats the total as the allowance for doubtful accounts. Accounts receivable (gross), other current assets, "property, goodwill, brands and other" and long-term liabilities are derived from reported totals. Q7 uses made-up numbers.